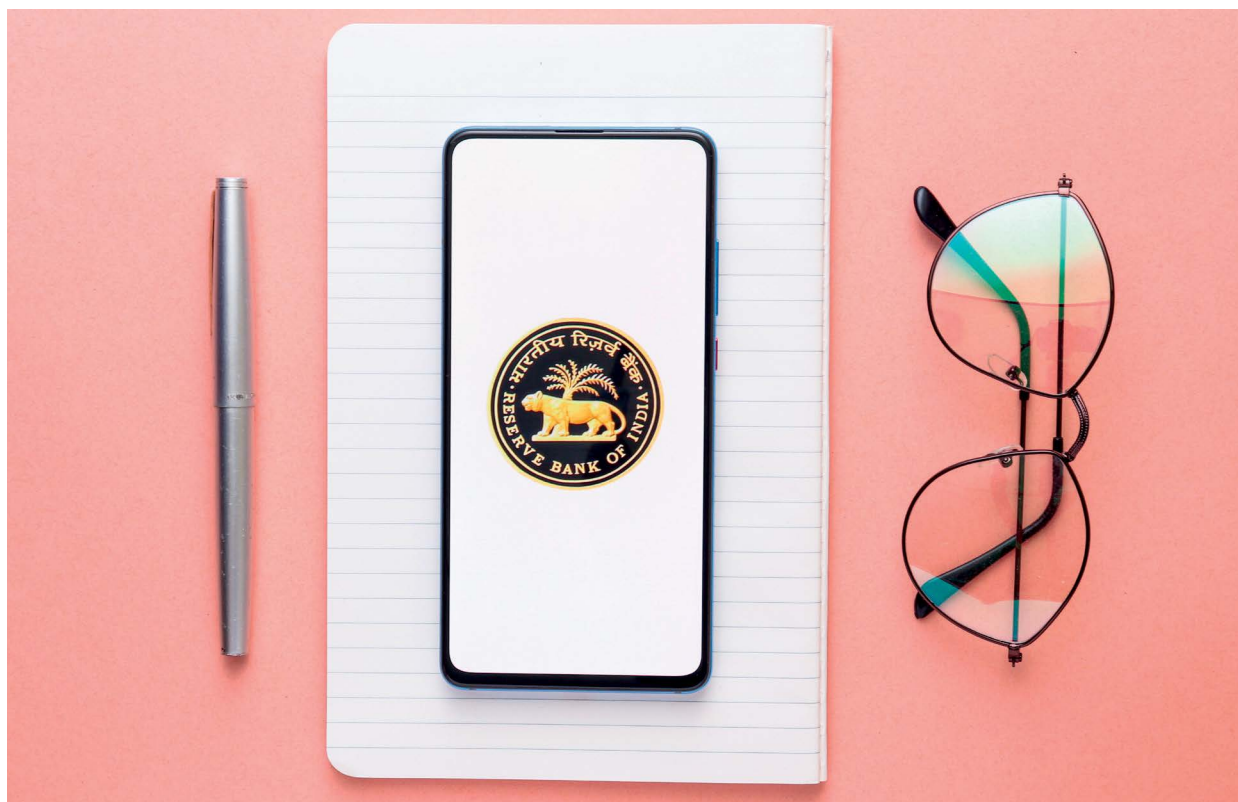




for any expansion in the definition of connected parties or connected lending,” he adds.

Then, there is the issue of co-lending tie-ups, where banks or NBFCs extend credit to fintech firms, which in turn lend to MSMEs. “There could be some [related-party lending] deals in such arrangements,” says a consultant, requesting anonymity.

others—enter via the NBFC route. Moreover, many of these players are eyeing the fast-growing MSME segment to gain a foothold. “NBFCs are already operating as conglomerates with business interests spread over multiple sectors like insurance, mutual funds and real estate. As such, the risks of the NBFC sector can be easily transmitted to the financial sector,” says Rishi Agrawal,

own business interests. In such a situation, there is a likelihood of suppliers and dealers, or connected entities, getting a loan on favourable terms when borrowing. “These companies (NBFCs) might have to re-evaluate and possibly restructure their lending practices to comply with stricter disclosure and conflict of interest norms,” says Purswani. “This could involve additional compliance costs and might limit their ability to leverage intra-group financial synergies.”

Which brings us to the question, is this a precursor to allowing corporates to enter the banking space? In 2020, a working group set up by the RBI and headed by Central Board Director P.K. Mohanty, had suggested that corporates and industrial houses might be permitted to become bank promoters only after the necessary amendments to the Banking Regulation Act, 1949. With the central bank’s track record of well-considered decisions, one thing is certain: Any decision by the RBI on the matter would be after careful scrutiny. **BT**

## **THE PROPOSED FRAMEWORK SHOULD MANDATE TRANSPARENT REPORTING OF RELATIONSHIPS BETWEEN LENDERS AND BORROWERS TO PREVENT ANY UNDUE ADVANTAGE OR INFLUENCE**

But what has prompted the RBI’s move to cover all the regulated entities? The answer lies in the dynamic financial landscape, which has seen many big corporates—such as Reliance’s Jio Financial Services, the Piramal Group’s Piramal Capital, The Poonawalla Group of Companies’ Poonawalla Fincorp, and the Godrej Group’s Godrej Capital, among

Co-founder and CEO of TeamLease Regtech.

Further, the entry of large corporates into the sector can make it extremely tricky for the RBI to spot lending to connected parties, as they have complex organisational structures, a network of suppliers and dealers, and also promoters with relatives, who have their

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